

of pride after the one-time settlement. There is no problem on either regulation or compliance. There is no agency after us and the markets are looking at us very favourably. I want to emphasise that from September to now, the company has only grown stronger. The uncertainty of the open offer was very much there during the period. We will be there till we hang our boots. We will continue to do our duty and are determined to unlock value for REL.

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Why is there so much controversy that always surrounds Religare?

A lot of companies in the past did not have high levels of transparency. Today, with technology and more demanding auditors, there is not only transparency but independence to ask questions as well.

If we had [done] something wrong, the one-time settlement would have been inconceivable, and the company would have gone to the NCLT (National Company Law Tribunal). The banks know we have kept our word since repayments were done before time. We have four businesses, and you can check with anyone who is involved with us.

I give full credit to the board and management who have worked like a family. The share price has come a long way from ₹17 when I took charge and look at the wealth created. We must become an exemplary organisation and one that enthruses investors, be it those who have put in money or those who want to be a part of the story. *BT*

tions to protect the interests of the shareholders wherever necessary.

NIGGLING ISSUES

Barely a month after the Burmans announced the open offer, Religare's board wrote to Sebi claiming that the Burmans were not "fit and proper" to become a promoter of a financial services company.

The Burman family spokesperson tells *BT* that Saluja was informed of their intention to launch an open offer. "We never expected the Executive Chairperson or the board to stall the open offer. We voted for the appointment of the Executive Chairperson in the shareholders' meeting after the launch of the open offer. The board publicly welcomed our open offer," the spokesperson claims.

Those familiar with the issue say Religare's management became hostile because it feared losing control. Religare has no defined 'promoter', so Saluja calls the shots. Besides, each of the three regulators—Sebi, RBI, and Irdai—has different criteria for "fit and proper," especially for NBFCs.

Ashish Kumar Singh, Managing Partner at law firm Capstone Legal, says that when it comes to a listed NBFC's or bank's shares being acquired, there is an added layer of scrutiny by RBI. "The primary purpose is to protect the interests of customers of the said company and to ensure that there is no conflict of interest with that or its businesses."

He elaborates that RBI's decision is based on many considerations and that includes credentials of proposed shareholders,

proposed new directors of the company and conflict check with the target entity. The other factor is whether the new shareholders are fit and proper persons to conduct financial service activities. "That decision rests with RBI and the existing board has no role to play in this process other than to just forward the names and credentials of the proposed shareholders."

Singh says that until RBI studies that matter, it is difficult to say whether the Burmans' open offer is a clear "open and shut case".

"Each application submitted to the RBI is determined on its own merits, and one cannot

assume that the approval is a mere technical formality," Singh says. That means the issue could take even longer before it is resolved.

The Burman family spokesperson says the immediate priority is to extend

full support to the regulators and obtain their approvals "to ensure the public shareholders get their exit and REL/its shareholders are able to move forward with their respective businesses".

The Burmans expected the open offer process to have been a lot smoother. "More than it being challenging, it is unfortunate that the interest of REL and its shareholders are being jeopardised by the board and its Executive Chairperson. We have faith in the regulatory process and, to that extent, remain confident in overcoming these challenges created by the board and REL's Executive Chairperson," says the spokesperson.

EXPERTS SAY THE FOCUS SHOULD BE ON GROWING THE BUSINESS AND PROTECTING THE INTERESTS OF MINORITY SHAREHOLDERS